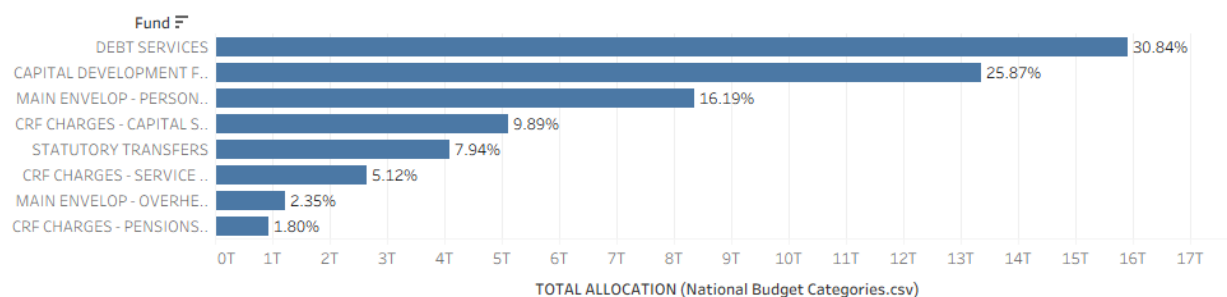


Nigeria's 2026 Budget: Where Does Your Money Go?

Nigerians are working harder than ever, yet life keeps getting more expensive.

Every year, the government announces a new budget i.e., trillions of naira meant to improve lives. **But where does that money actually go?**

Our analysis of Nigeria's 2026 federal budget reveals a clear pattern: Before the country builds/pays anything for the citizens, it pays its debts and spends heavily on administrative costs just to keep the system running.



Debt vs Capital vs Recurrent

THE FIRST CLAIM ON THE MONEY

Out of every ₦100 Nigeria plans to spend in 2026, about ₦31 goes to servicing debt.

This means nearly one-third of the budget is already committed before investments in infrastructure, education, or healthcare even begin. Debt servicing alone accounts for 30.84% of the national budget allocation structure.

This reflects the weight of past borrowing on current national priorities. In practical terms, a significant portion of public funds never reaches development projects. It is used to settle existing obligations.

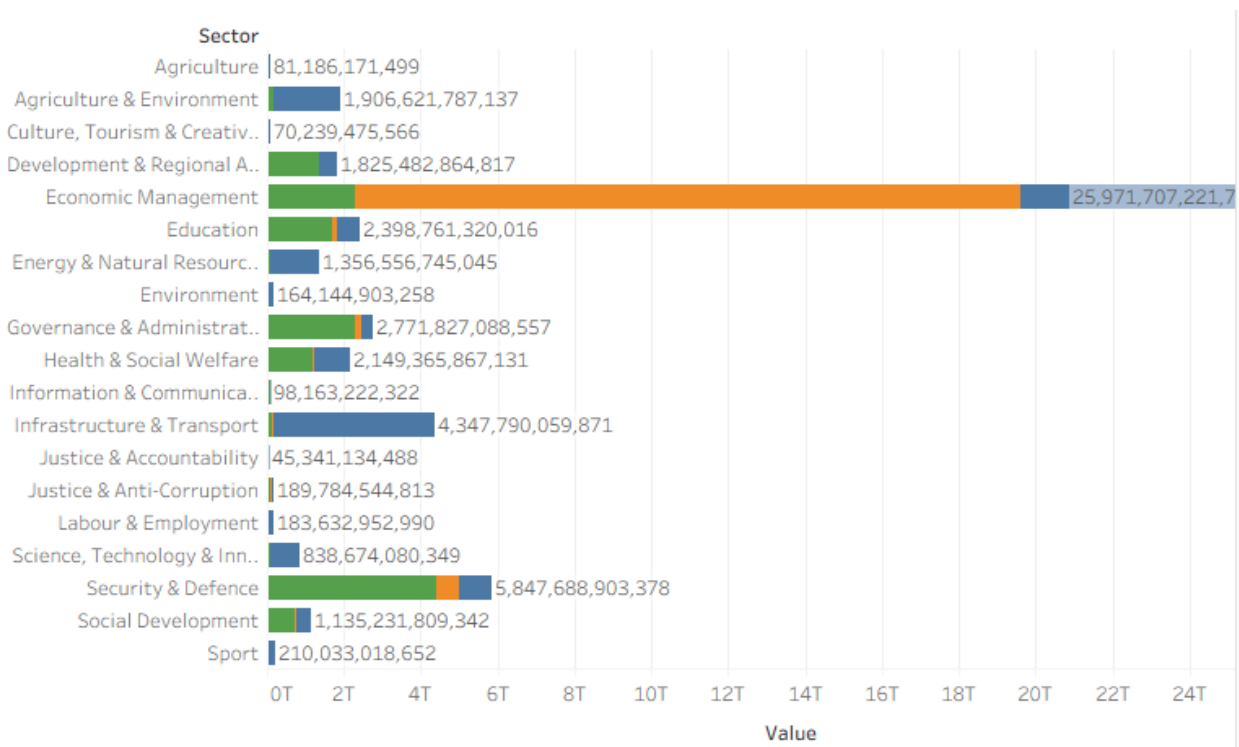
A SYSTEM THAT SPENDS ON ITSELF

After debt payments, a large share of what remains is spent on running the government itself. In some sectors, nearly 9 out of every 10 naira is spent on salaries, overhead, and administrative operations.

For example, Governance & Administration allocates approximately 89.3% of its budget to recurrent expenditure. Similarly, Justice & Accountability budgets 89% of its expenditure to the same recurrent expenditure.

This means only about 10–11% of spending in these sectors is directed toward development.

This structure helps explain the common public perception that government spending does not translate into visible improvements in everyday life.



Capital vs Overhead vs Personnel by Sector

WHERE DEVELOPMENT ACTUALLY HAPPENS

Not all sectors follow this pattern.

Infrastructure & Transport allocates over 96% of its budget to capital expenditure. Energy & Natural Resources follows closely with over 93%. These sectors demonstrate a strong focus on long-term investment and development.

However, they exist alongside sectors that spend primarily on operations. This shows that while some sectors are building for the future, others are primarily sustaining operations.

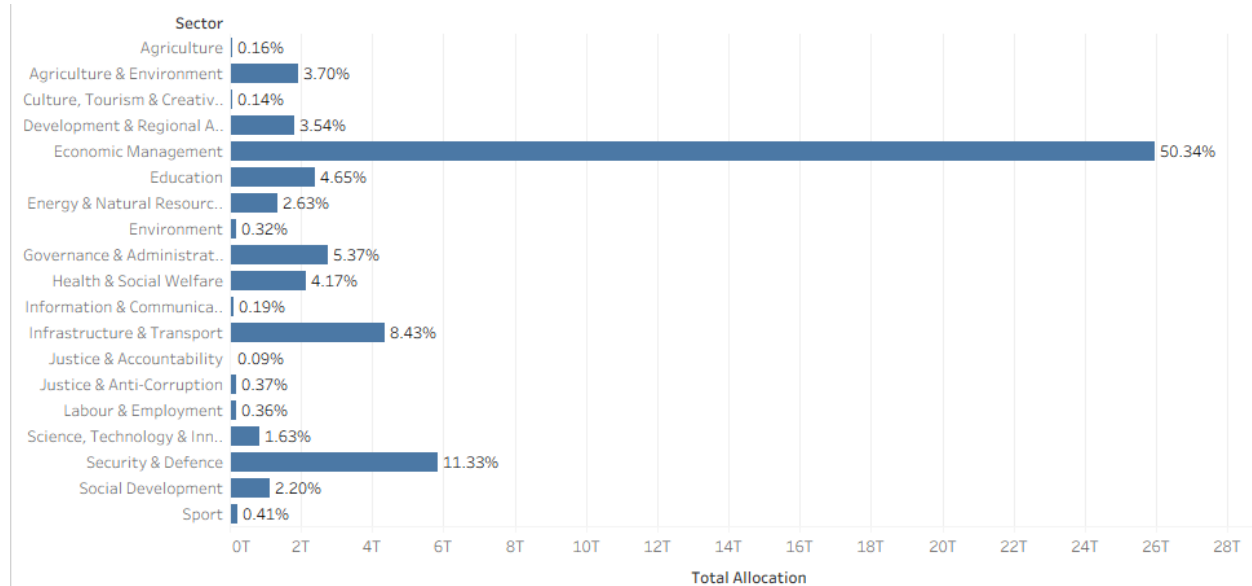
WHAT DIRECTLY TOUCHES YOU

When we look at sectors that directly affect everyday Nigerians i.e. education, health, agriculture, and infrastructure, the picture becomes more personal.

Infrastructure & Transport receives the largest share among these sectors at 8.43%. Education follows at 4.65% which is far below UNESCO's 15-20% recommendation. Healthcare is next with 4.17%, and Agriculture, by far the lowest, receives a damning 0.16%. That is 0.16% allocated in a country where food

prices continue to rise, and agriculture remains a major source of employment.

Lower investment in agriculture raises important questions about whether the government cares about food security and the cost of living.



Ministry Allocation Comparison Chart

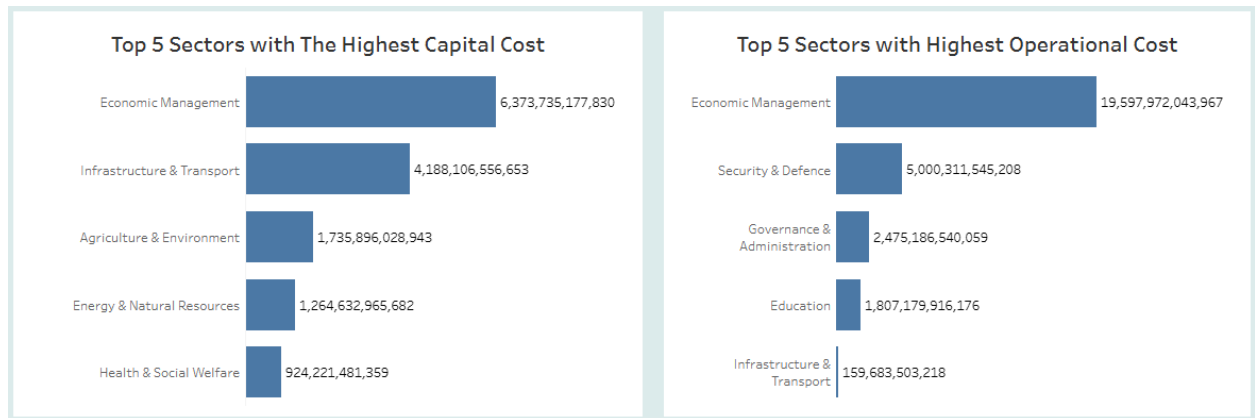
WHO CONTROLS THE MONEY

Another striking pattern is how concentrated the budget is. Economic Management alone accounts for 50.34% of total sector allocation.

Security & Defence follows at 11.33%.

Meanwhile, sectors like Culture & Tourism and Justice & Accountability receive less than 1% each.

This concentration means a large portion of national spending is controlled by a few sectors, limiting how much is distributed across others.



Sector Share Distribution

WHAT THIS MEANS

The 2026 budget reveals just how the Nigerian economic priorities are structured. It's a system where:

- Debt repayment comes first
- Administrative costs come next
- Development competes for what is left

For everyday Nigerians, the implications are direct: If most of the money is already committed to debt and administration, then only a limited portion remains for improving roads, schools, hospitals, and food systems.

And that raises a critical question: **when will the budget begin to improve truly Nigerian lives?**

Until the structure of priority changes, many Nigerians may continue to feel the weight of government decisions without seeing proportional improvements in their daily reality.